

## U.S. SMID-Cap Software

# Cybersecurity: Is FTNT upside surprise a signal for other vendors?



**Peter Weed**  
+1 917 344 8390  
peter.weed@bernsteinsg.com



**Armin Hadavi, CFA**  
+1 917 344 8463  
armin.hadavi@bernsteinsg.com

Last week, Fortinet's Q1'26 earnings delivered a [nice upside surprise](#), with its largest revenue growth beat (+6.9% vs. midpoint guide) since the '21 COVID demand bubble. This is relative to "normal" beats in the 2-3% range. Yes, ~1% of the beat can be attributed to passing through higher memory prices on appliances, but that still leaves a few % of extra that the company chalked up in no small part to a bubble of demand in firewall appliances to support Operational Technology ("OT") cybersecurity. OT cyber focuses on securing critical physical device infrastructure that includes more and more embedded software and even network/internet connected, such as medical devices, power/energy grids, or manufacturing equipment. We understand this demand reflects recent Middle-East friction and [nation-state hacks such as Stryker](#) combined with new [Europe OT regulations](#) and the [US government](#) leaning on businesses with OT infrastructure to improve their cybersecurity posture. In our Fortinet model published after earnings, it implicitly anticipates this excess demand remains elevated for several quarters, perhaps into next year as US and European companies evaluate and address their exposure. It made us think... **what other cyber vendors in our coverage could see OT cyber tailwinds?**

**OT Network security leaders are Fortinet and Palo Alto.** According to Gartner, they are effectively tied for #1 in OT Network Security, both with a similar market share. We wonder if this could show up as excess strength in Palo Alto's firewall appliances this quarter. Perhaps a few \$10MM are possible, but we do note the actual regulation forcing OT cyber compliance is in Europe (US is a bit lighter touch, as you can see in the link above), where Fortinet's revenue over-indexes by 2x vs. Palo Alto. On the other hand, the Stryker hack and industry noise are strong in the US, so perhaps demand will be elevated on both sides of the Atlantic. We don't anticipate it would have as much benefit for Palo Alto's NGS ARR, unless its endpoint or SSE are part of the pull like...

**IoT endpoint security could benefit?** SentinelOne has focused on OT (e.g., [manufacturing, energy](#)) including broad OS support and securing for segmented networks (for instance, protected from direct internet access). Their Singularity platform is designed to secure unmanaged, internet-connected devices (IoT/IIoT) that cannot host traditional security agents, such as industrial control systems, surveillance cameras, and building automation systems. In addition, CrowdStrike is making strides with [recent announcements of its own OT/IoT capabilities](#), and historic relationships with partners like [Dragos](#).

**Not to be left behind, SASE/SSE is also trying to be relevant in OT.** Zscaler [acquired Airgap Technologies in 2024](#) to get closer to the OT/IoT security space. They offer an alternative approach to OT network security that is intended to overcome challenges with the use of physical appliance firewalls, particularly incomplete coverage due to challenging implementation approach. Not to mention, [Cloudflare emphasizes similar approaches](#), with partners like Brixio deploying them for [IT/OT converged cyber solutions](#). We note Cloudflare's focus seems thinner and wasn't a discussed tailwind in their [Q1 earnings](#).

**Will there be a noticeable bump outside of firewall appliances? We aren't sure.** We are looking forward to the upcoming earnings for Palo Alto, SentinelOne, CrowdStrike, and Zscaler to see if any of all of them get a little extra "juice" from the urgency and government prodding on OT cybersecurity.

## BERNSTEIN TICKER TABLE

|                           |        |     | 13 May<br>2026 |        | TTM     | Adjusted EPS |       |       |       | Adjusted P/E (x) |       |       |
|---------------------------|--------|-----|----------------|--------|---------|--------------|-------|-------|-------|------------------|-------|-------|
|                           |        |     | Closing        | Price  | Rel.    |              |       |       |       |                  |       |       |
| Ticker                    | Rating | Cur | Price          | Target | Perf.   | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| FTNT (Fortinet)           | M      | USD | 117.69         | 92.00  | (14.4)% | USD          | 2.76  | 3.37  | 3.93  | 42.7             | 34.9  | 29.9  |
| PANW (Palo Alto Networks) | O      | USD | 227.79         | 209.00 | (7.8)%  | USD          | 3.34  | 3.97  | 4.45  | 68.2             | 57.3  | 51.2  |
| S (SentinelOne)           | O      | USD | 16.08          | 19.00  | (47.4)% | USD          | 0.20  | 0.34  | 0.55  | 80.2             | 46.7  | 29.1  |
| ZS (Zscaler)              | O      | USD | 152.43         | 228.00 | (64.2)% | USD          | 3.28  | 4.20  | 5.23  | 46.5             | 36.3  | 29.1  |
| NET (Cloudflare)          | M      | USD | 192.62         | 136.00 | 1.6%    | USD          | 0.92  | 1.33  | 1.73  | 208.3            | 145.3 | 111.3 |
| SPX                       |        |     | 7,444.25       |        |         |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

S base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

No changes to models, price targets, or ratings.

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Our price target of \$92 is an average of DCF (with 11% WACC and 3% terminal growth) and 8x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the >10% OpM Cloud SaaS cohort from our valuation framework analysis. Because of its large hardware footprint, we discount the multiple consistent with its historical level. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

**Palo Alto Networks Inc**

Our target price \$209 is a 50/50 average of DCF (with 10% WACC and 3% terminal growth) and P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple of 13X is selected in the >10% OpM Cloud SaaS cohort from our "Rule-of-40" based valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

**SentinelOne Inc**

Our price target of \$19 is an average of DCF (12% WACC, 3% terminal growth) and 5.5x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the high-growth proportion of Ro40 Cloud SaaS cohort from our valuation framework analysis. We assume the current Cloud SaaS multiples regression line remains consistent for 1+ year.

**Zscaler Inc**

Our price target of \$228 is an average of DCF (11% WACC, 3% terminal growth) and 10x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the >10% OpM Cloud SaaS cohort from our valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

**Cloudflare Inc**

Our price target of \$136 is an average of DCF (with 10% WACC and 3% terminal growth) and 16x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the 10%+ OpM Cloud SaaS cohort from our valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

**RISKS****Fortinet Inc**

Downside risks beyond the macroeconomic risks include: high customer penetration, focus on integrated hardware + software while the market moves to software only, competitive overlap on platform strategy with both best-of-breed and hyperscaler consolidators, "good enough" product that could face technical risk with customers preferring "best-of-breed".

Upside risks include strong success with their new SASE offering, longer more durable demand for hardware firewalls, success moving up market into enterprise.



**Palo Alto Networks Inc**

Downside risks beyond the macroeconomic risks include: high customer penetration, exposure to churn on their hardware firewalls, trade financing to keep billings and cash flow high, competitive overlap on platform strategy with both best-of-breed and hyperscaler consolidators, premium price, “good enough” product that could face technical risk with customers preferring “best-of-breed”, high valuation, slowing billings growth in the near term.

**SentinelOne Inc**

Downside risks beyond the macroeconomic risks include: continued tie to cloud growth, executive talent churn and operational disruption during ramp up of replacements, execution risk in going up-market to target enterprise customers; maintaining traction in the product portfolio outside their core endpoint business, upmarket “best-of-breed” competitors moving into their managed service provider customers, platforms moving into their core business

**Zscaler Inc**

Downside risks beyond the macroeconomic risks include: continued tie to cloud growth, attractiveness of alternative technology in single-vendor SASE and cloud-native SSE as competitive threats, premium price and competitors undercutting them, preferences for cybersecurity consolidation.

**Cloudflare Inc**

Downside risks beyond the macroeconomic risks include: continued tie to cloud growth, execution risk in sales model transformation; less visibility in consumption and revenue predictability; building credible Act II / III products and demonstrating demand, hyperscalers moving into their core CDN and expansion security businesses, high valuation.

Upside risks include AI driving demand for their edge PaaS, and success selling a broader cybersecurity platform either of both of which exceed revenue expectations.

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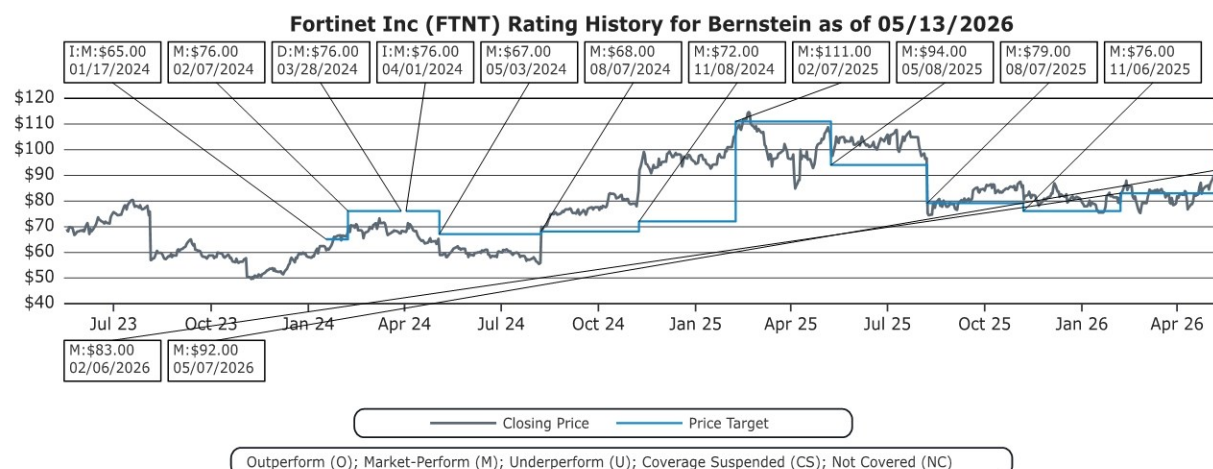
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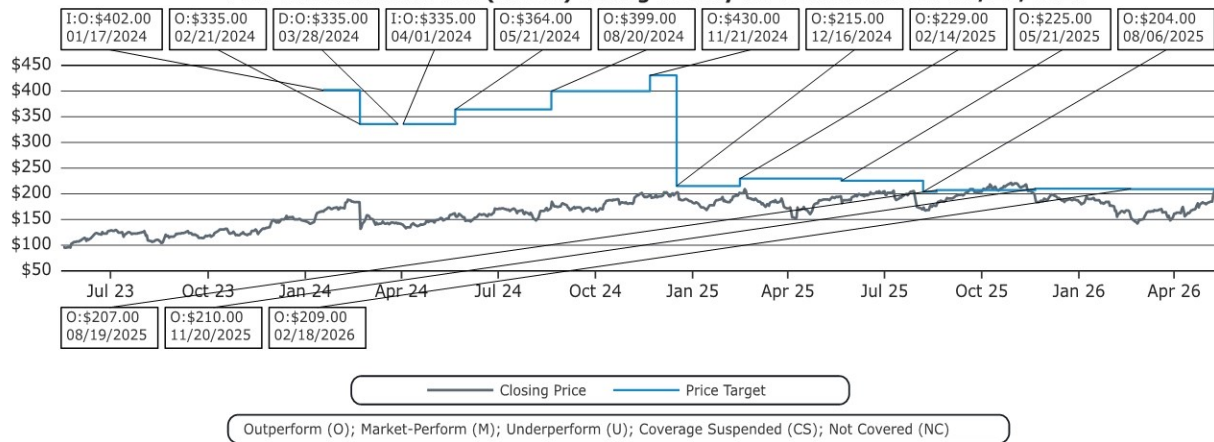
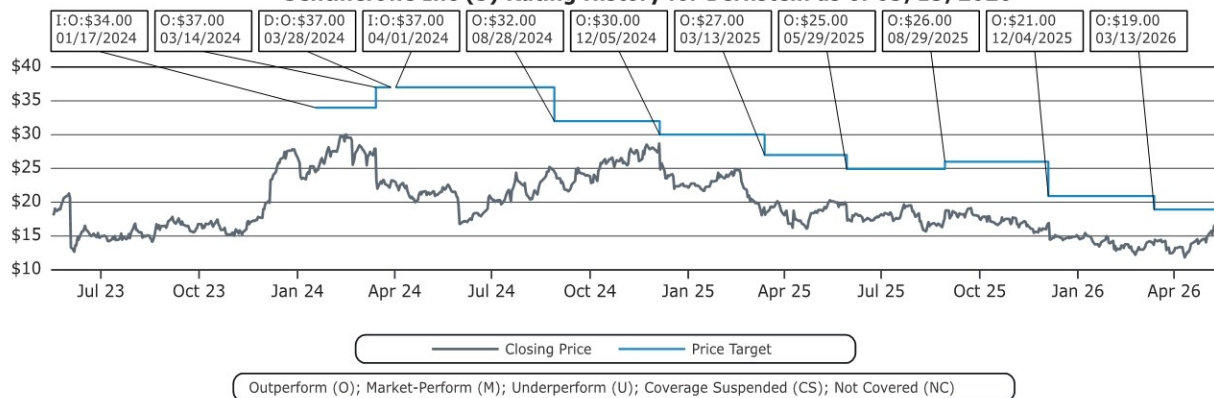
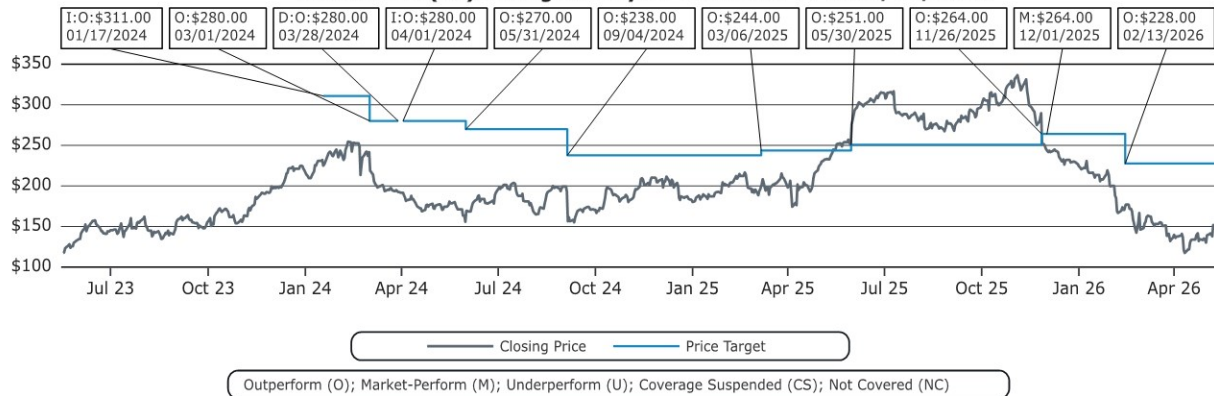
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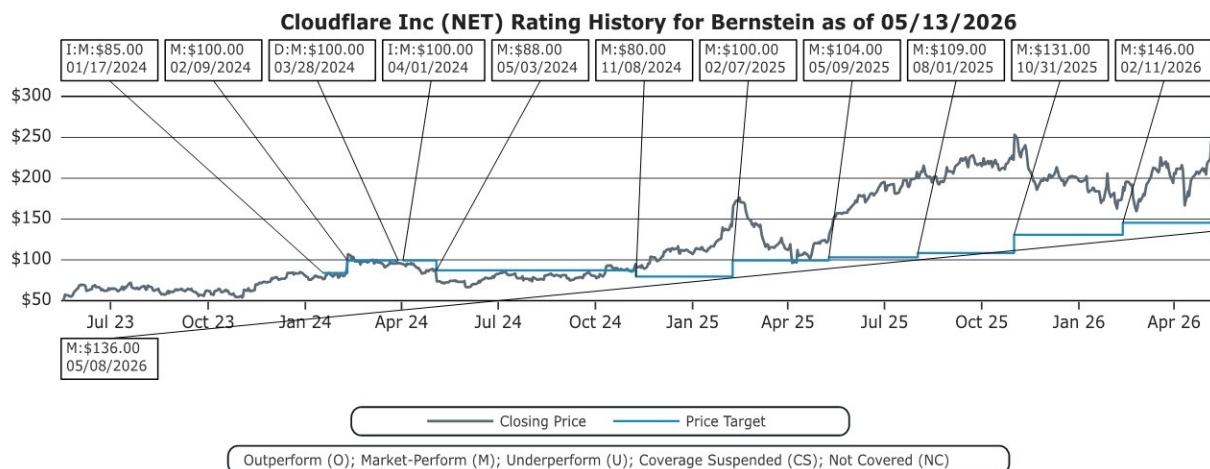
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